

Done!

Cambridge  
International  
AS & A LevelCambridge International Examinations  
Cambridge International Advanced Subsidiary and Advanced Level**ECONOMICS**

Paper 1 Multiple Choice

**9708/12****May/June 2017****1 hour**

Additional Materials: Multiple Choice Answer Sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)

**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

**DO NOT WRITE IN ANY BARCODES.**There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mushtaq!



Solved with reasons!

This document consists of **11** printed pages and **1** blank page.

2

- 1 Scarcity means that goods need to be rationed between competing consumers.

Which basis for rationing is the most likely to result in the most equal distribution of goods?

- A consumer preference (private sector)  
 B market price (private sector)  
 ✓ C political decision [Government involvement] [Public sector]  
 D seller preference (private sector)

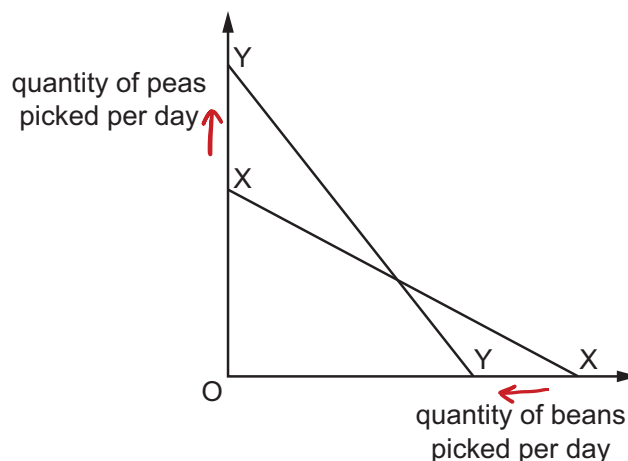
Objective of government  
 → public sector

- 2 In which aspect is the planned economy likely to offer more than the market economy?

- A competition (market economy) (Lots of firms)  
 B incentive (Profit motive) (market economy)  
 C innovation (Technological changes) (market economy)  
 ✓ D security (Planned economy) [How to produce? Labour]

↳ macroeconomic objective.

- 3 Line XX is the production possibility curve (PPC) of a worker picking peas and beans in a 10 hour working day.



What would cause the worker's PPC to shift to the line YY?

- A a machine that increases the worker's pea picking productivity only [only peas output ↑]  
 B a new work schedule where the worker spends 6 hours per day picking peas and only 4 hours picking beans (Earlier Distribution of picking hour is not informed)  
 ✓ C a reduction in working hours to 8 per day and a machine that increases the worker's pea picking productivity  
 D a reduction in working hours to 8 per day only [less of both]

Reduction to 8 hours per day, output of both decrease  
 Machines increases pea's productivity, peas output increases.  
 So, peas output ↑, and beans output ↓

\* cash at hand  
\* cash at Bank

4 Four students are given the following list of assets.

- a three bedroom house
- banknotes and coins in a purse
- money in a bank savings account
- shares in a public limited company

convertable to cash  
↑

The students are asked to order the assets from the most liquid to the least liquid and the table shows their choices.

Which student is correct?

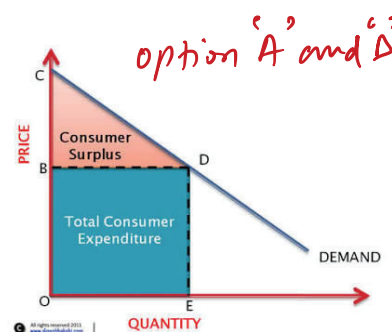
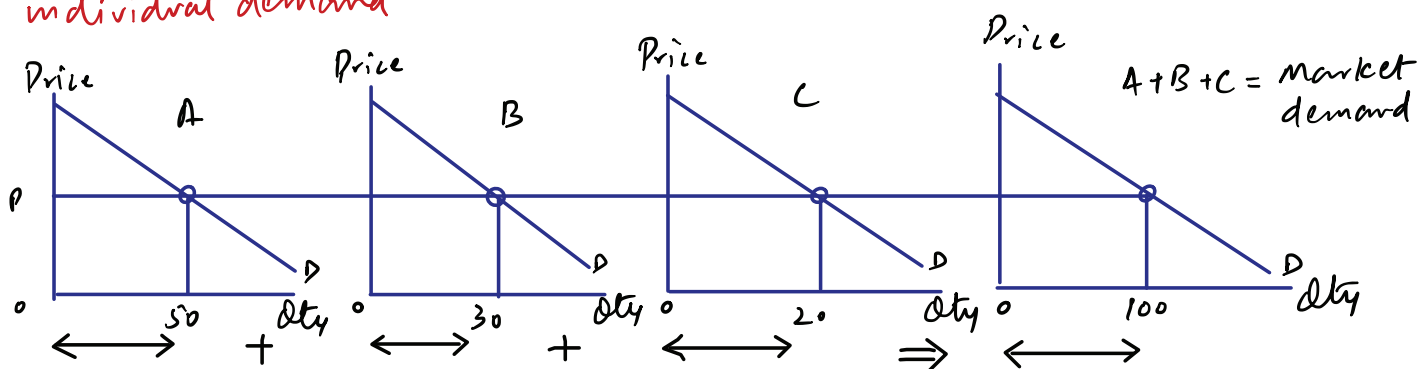
↓  
Not easy

|              | most liquid → least liquid          |                                   |                 |         |
|--------------|-------------------------------------|-----------------------------------|-----------------|---------|
| <del>A</del> | cash at hand ✓<br>notes and coins ✓ | cash at bank ✓<br>savings account | shares          | house ✓ |
| <del>B</del> | notes and coins ✓                   | savings account                   | house           | shares  |
| C            | notes and coins ✓                   | shares                            | savings account | house ✓ |
| <del>D</del> | savings account                     | notes and coins                   | shares          | house   |

5 How would an economist establish the market demand curve for a private good?

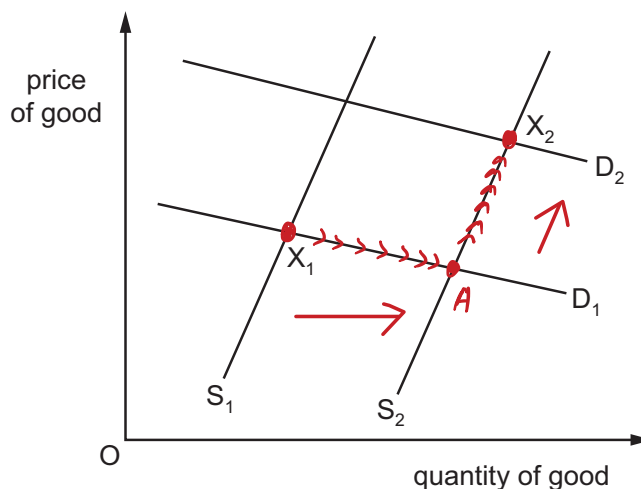
- A by adding consumer surplus to total expenditure (Total willingness)
- B by combining individual demand curves horizontally
- C by combining the price elasticity of individual demands (Elasticity of market)
- D by multiplying price by quantity demanded (Total revenue or total Expenditure)

\* market demand is the horizontal summation (combination) of individual demand



4

- 6  $D_1$  and  $S_1$  are the initial demand and supply curves for a normal product. They then change to  $D_2$  and  $S_2$ .



Which pair of changes would result in the market equilibrium for the product changing from  $X_1$  to  $X_2$ ?

- cost ↓, Supply ↑*
- ☒ A a fall in the price of a raw material used in the manufacturing and a decrease in the price of a complementary good *Price car ↓, Demand petrol ↑. Supply ↓*
- B an increase in average consumer incomes and an increase in the level of an indirect tax imposed *D ↑*
- C an increase in the price elasticity of demand for the product and a fall in its price elasticity of supply *Elastic (change in slope, not shift) Inelastic*
- D a rise in the population and an increase in the price of labour used in manufacturing *D ↑ S ↓*
- 7 The table gives a set of price and cross-price elasticities for four commodities, W, X, Y and Z.

| with respect to price of | elasticity of demand for commodity |      |      |      |
|--------------------------|------------------------------------|------|------|------|
|                          | W                                  | X    | Y    | Z    |
| W                        | -0.3                               | -0.5 | +0.7 | -1.3 |
| X                        | -0.7                               | -1.2 | +0.8 | +1.6 |
| Y                        | +1.3                               | +1.7 | -3.6 | +0.8 |
| Z                        | -2.7                               | +2.6 | +1.7 | -0.7 |

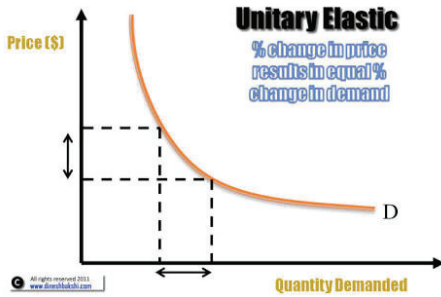
Which pairs of commodities are complements? *(Negative)*

- ☒ A W and X; W and Z *W and X = -0.7, W and Z = -2.7*
- B W and Y; X and Y *+1.3*
- C W and Z; X and Z *+2.6*
- D X and Y; X and Z *+1.7*

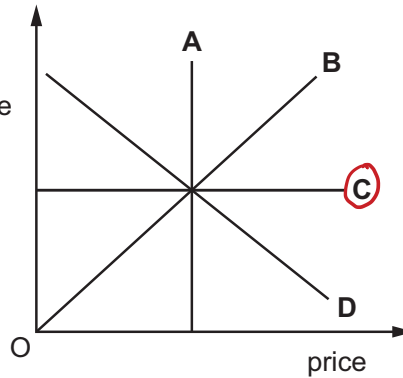
\* Unitary demand:- Percentage change in quantity demanded is equal to percentage change in price, thus  $TR/TE$  remains unchanged!  
 $PED = 1$  (Unitary demand)

- 8 The price elasticity of demand for a product is constant and equal to unity.

Which curve in the diagram shows the relationship between total expenditure on the product and its price?



total expenditure



option A:- perfectly elastic demand as prices are unchanged

option B:- perfectly inelastic, prices ↑ and  $TR/TE$  ↑

option D:- Elastic demand, negative relationship  $Price \uparrow QD \downarrow TR/TE \downarrow$

option C:- Unitary, as  $TR/TE$  is unchanged.

- 9 A bottle making business announced it had introduced a new production system. As a result the quantity produced per week could be increased or reduced much more easily when the price of bottles changed.  
More responsiveness, production, Elastic Supply

What term describes this change?

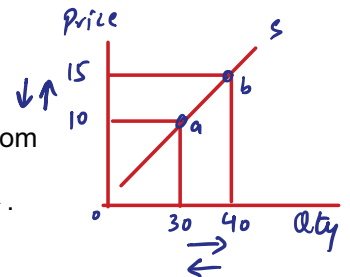
- A a less elastic demand [less substitutes] (No)  
 B a less elastic supply [Inelastic supply] [Low responsiveness]  
 C a more elastic demand [more substitutes] (No)  
 D a more elastic supply (more responsiveness of producer)

- 10 The supply function for a good can be written as  $Q = 2P + 10$ , where  $Q$  is the quantity supplied in kilos and  $P$  is the price per kilo in dollars.

The price falls from \$15 to \$10 per kilo.

The value of price elasticity of supply for this price change lies in a range from

- A  $\frac{1}{6}$  to  $\frac{1}{4}$ .      B  $\frac{3}{8}$  to  $\frac{1}{2}$ .      C  $\frac{2}{3}$  to  $\frac{3}{4}$ .      D  $1\frac{1}{4}$  to  $1\frac{1}{2}$ .



\*  $Q = 2P + 10$ , When  $P = \$15$ ,  $QS = 40$ , When  $P = \$10$ ,  $QS = 30$

\*  $PES = \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in price}}$        $\% \Delta \Rightarrow \frac{\text{New} - \text{old}}{\text{old}} \times 100$

$$\% \Delta \text{ in } QS = \frac{30 - 40}{40} \times 100 = -\frac{1}{4}$$

$$\% \Delta \text{ in price} = \frac{10 - 15}{15} \times 100 = -\frac{1}{3}$$

$$PES = \frac{-\frac{1}{4}}{-\frac{1}{3}} = \frac{3}{4}$$

$$\% \Delta \text{ in } QS = \frac{40 - 30}{30} \times 100 = \frac{1}{3}$$

$$\% \Delta \text{ in price} = \frac{15 - 10}{10} \times 100 = \frac{1}{2}$$

$$PES = \frac{\frac{1}{3}}{\frac{1}{2}} = \frac{2}{3}$$

Option 'C' =  $\frac{2}{3}$  to  $\frac{3}{4}$

\* To find the range, always go both sides, that is increase in price and decrease in price.

- 11 A local government is deciding whether to increase parking charges and provide more lanes for bus use only.

One official said that the increase in parking charges should cause more bus travel. *Parking charges ↑, switch to substitutes, Demand<sub>Bvs</sub> ↑ (correct)*

A second official said that an increase in the frequency of bus services will not cause demand for bus travel to rise. *(Incorrect) More availability of Bus services ↓ It will increase in demand*

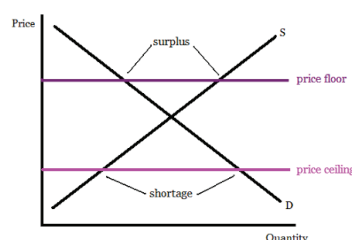
Are these official statements correct or incorrect?

|                                       | first statement | second statement |
|---------------------------------------|-----------------|------------------|
| A                                     | correct         | correct          |
| <input checked="" type="checkbox"/> B | correct         | incorrect        |
| C                                     | incorrect       | correct          |
| D                                     | incorrect       | incorrect        |

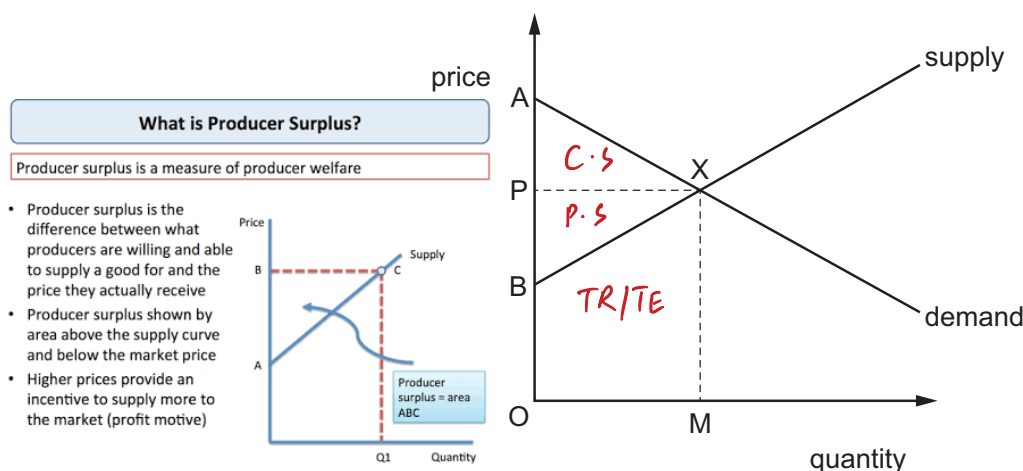
*Alternative to 'price mechanism' is 'price control'*

- 12 What would prevent the operation of the market mechanism's rationing function?

- A falling prices *(market economy)*  
☒ B price controls *(Maximum or Minimum price)*  
 C rising profits *(market economy)*  
 D self interest *(market economy)*



- 13 The diagram shows the demand and supply curves for a good during a certain period. The market price is shown by P and the quantity traded by point M.



*C.S :- PAX*

*P.S :- PBX*

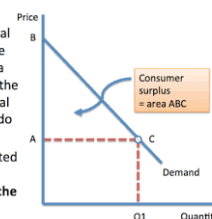
*TR/TE :- OPXM*

*Willingness :- OAXM*

#### What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

- Consumer surplus is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.

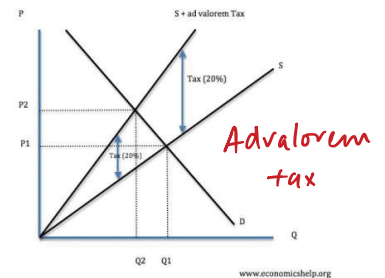
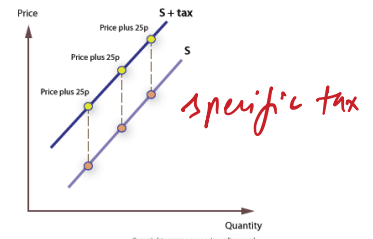
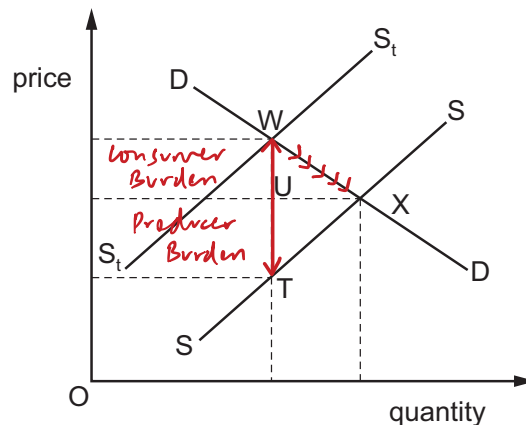
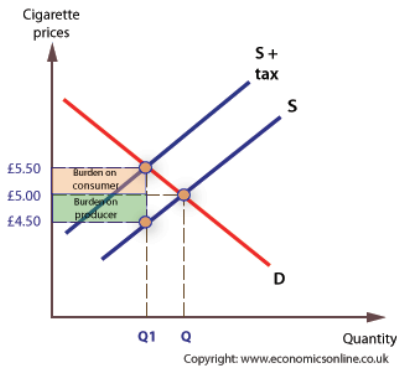


Which area indicates producer surplus?

- A AXB      B AXMO      C AXP      ☒ D PXB

- 7  
Vertical distance between 2 Supply curve is called specific tax/per unit tax
- 14 A specific tax is placed on the sale of bottles of lemonade. In the diagram, SS is the supply curve before imposition of the tax and  $S_t S_t$  is the supply curve after tax.

parallel shift



Which distance represents the specific tax on each bottle?

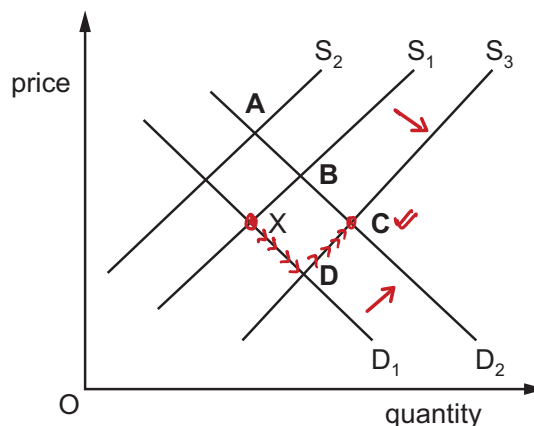
- A UT *Producer Burden*    **B** WT    C WU *consumer Burden*    D WX (*Movement along demand curve*)

- 15 A market is in equilibrium at point X. The government then subsidises both consumers and producers by direct payments.

What will be the new equilibrium position?

cost ↓  
supply ↑

income ↑  
Demand ↑



- 16 Which is a transfer payment?

- A** an annual allowance paid by an individual to a grandchild (*No service in return*)  
B a one-off bonus paid to an employee for a special contribution to a firm's profits [*something in return*]  
C a payment made by a parent to a regular child-minder [*service in return*]  
D the monthly salary of an employee of a local authority [*service in return*]

Transfer payment is a payment made or income received in which no goods or services are being paid for, such as a benefit payment or subsidy.

Transfer payment : These payments are considered to be non-exhaustive because they do not directly absorb resources or create output. Examples of transfer payments include welfare, financial aid, social security, and government making subsidies for certain businesses (firms).

8

*Through government*

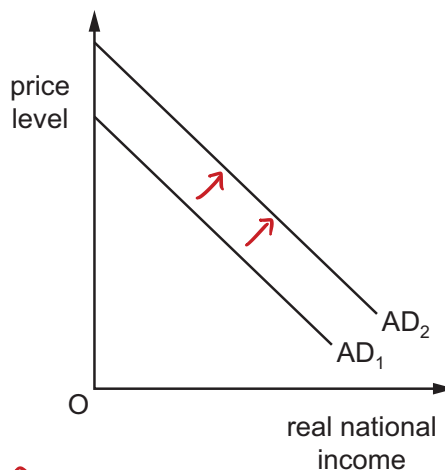
17 What is an example of direct public provision of goods and services?

- A a charity hospital funded by public donations that offers free treatment to the rural poor *[Private individuals]*
- ☒ B a mobile government library that travels to rural villages offering access to books *[Public sector]*
- C a pharmacy in a local shopping centre that provides treatment direct to the public *[Private sector]*
- D a private school that offers free places to children of low income families *[Private sector]*

18 What would supporters of a nationalised public transport service expect to be the most likely outcome from the privatisation of train and bus services?

- ☒ A fewer destinations served by trains and buses *Nationalization to Privatization  $\Rightarrow$  output  $\downarrow$  prices  $\uparrow$*
- B lower fares *(No)*
- C more frequent services to all destinations *(No)*
- D more people employed in public transport services *(No) (Industry is privatized)*

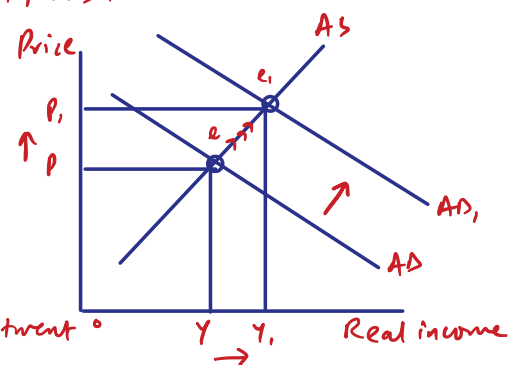
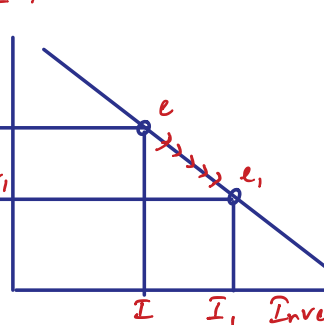
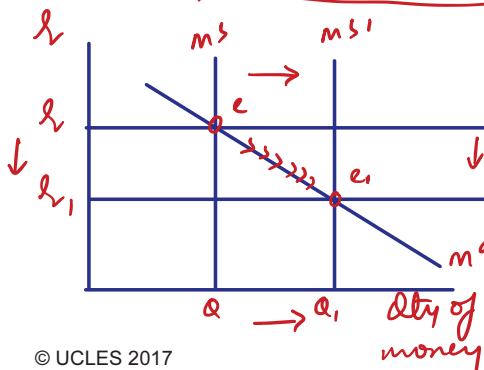
19 The diagram shows a shift in the aggregate demand curve of an economy from  $AD_1$  to  $AD_2$ .



*AD  $\uparrow$*

What could have caused this shift?

- A an increase in expenditure on imports, *Import Expenditure  $\uparrow$ ,  $AD \downarrow$*
- B an increase in government tax rates, *Tax  $\uparrow$ , Disposable income  $\downarrow$ ,  $C \downarrow$ ,  $AD \downarrow$*
- C an increase in the international trade deficit,  *$M(TE) > X(TR)$ ,  $AD \downarrow$*
- ☒ D an increase in the money supply,  *$M^S \uparrow$ ,  $r \downarrow$ ,  $C \uparrow$ ,  $I \uparrow$ ,  $AD \uparrow$  ✓*



9

Deflation is negative inflation, prices fall!

$$\text{Real income \%} = \text{Nominal income \%} - \text{Inflation \%}$$

↑                      ↓                      ↓ (-ve)  
Unchanged!

20 Which statement about changing price levels is correct?

- ☒ A Anyone on a fixed income has rising real income during deflation.
- B Government revenue from indirect taxes falls during inflation. (It rises)
- C Producers prefer deflation to inflation. (No) (other way round)
- ☒ D Savers prefer index-linked savings when there is deflation rather than inflation. (other way round)

\* Index-linked Savings Certificates are inflation linked bonds from National Savings and Investments, the state-owned savings bank in the United Kingdom.

21 Which combination of events is most likely to cause inflation?

\* m<sup>s</sup> ↑  
& ↓  
C ↑ I ↑  
AD ↑

|                                       | exchange rate | direct taxes | money supply |
|---------------------------------------|---------------|--------------|--------------|
| A                                     | falling ✓     | falling ✓    | falling      |
| <input checked="" type="checkbox"/> B | falling ✓     | falling ✓    | rising ✓     |
| C                                     | rising        | rising       | rising ✓     |
| D                                     | rising        | rising       | falling      |

\* ER ↓                      \* Direct tax ↓  
Depreciate                      Disposable income ↑  
X prices ↓                      M prices ↑  
X (IR) ↑                      M (TE) ↓  
AD ↑                      AD ↑

AD ↑ ⇒ demand pull inflation

22 The table gives information about the trade between Singapore and New Zealand during 2001, the first year after they signed a free trade agreement. The values are given both in Singapore dollars (S\$) and New Zealand dollars (NZ\$).

|                                    | S\$m | NZ\$m | percentage change from 2000 |
|------------------------------------|------|-------|-----------------------------|
| Singapore exports to New Zealand   | 508  | 618   | +20%                        |
| Singapore imports from New Zealand | 331  | 403   | -17%                        |

S\$177m      NZ\$215m

What can be concluded from the table?

- A New Zealand gained more than Singapore from the trade agreement. (New Zealand is in deficit)
- B New Zealand's trade position with Singapore improved in 2001. (No) (still in deficit)
- ☒ C Singapore had a trade surplus with New Zealand in 2001. (yes)
- D The exchange rate in 2001 was approximately NZ\$1 = S\$1.2. (we require data of prices or Terms of trade)

23 Country X conducts 60% of its trade with country Y and 40% of its trade with country Z. The initial value of the trade weighted exchange rate index of country X is 100.

What will be its new trade weighted exchange rate index value if its currency rises in value by 20% against the currency of Y and falls by 10% against the currency of Z?

- A 84                      B 92                      ☒ C 108                      D 116

|           | Trade weights | Trade weighted     |
|-----------|---------------|--------------------|
| Country Y | 60%           | +20% → 120         |
| Country Z | 40%           | -10% → 90          |
|           | 100%          | Base is '100' year |
|           |               | 120 × 60           |
|           |               | 90 × 40            |
|           |               | 10800              |

Base year = 100

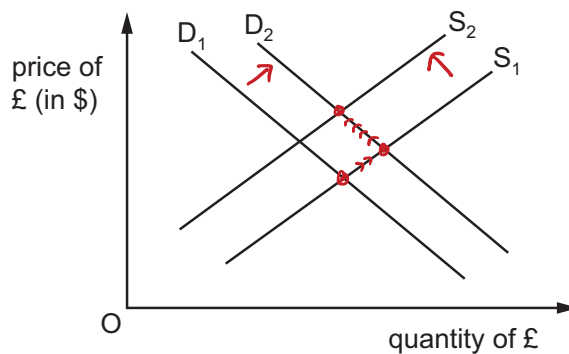
$$\frac{10800}{100} = 108$$

- 24 In the diagram  $D_1$  and  $S_1$  are the initial supply and demand curves of the pound sterling (£) on the foreign exchange markets.

option 'C' :-

Imports expensive,  
Import Expenditure ↓  
Supply £ ↓

Domestic goods cheaper,  
Export revenue,  
Demand £ ↑



Demand £ ↑ and  
Supply £ ↓

What will cause the demand curve to shift to  $D_2$  and the supply curve to  $S_2$ ?

- A a depreciation of the pound sterling (It's the effect, not the cause)  
B a decrease in UK interest rates (x and ER positive relationship) ( $x \downarrow, D_\$ \downarrow, S_\$ \uparrow$ )  
☒ C an increase in the price levels of other countries  
D an increase in the level of UK import tariffs [only affects  $S_\$ \downarrow$ ] (no demand £ effect)

- 25 A country's terms of trade currently stands at 150 (base year 2000 = 100).

Since 2000 the average price the country has received for its exports has increased by 20%.

What has been the change in the average price it has paid for its imports?

- A -25% ☒ B -20% C +20% D +25%

- 26 The table shows the ability of two countries, P and Q, to produce two goods, Y and Z.

|           | production of good Y<br>per person | production of good Z<br>per person |
|-----------|------------------------------------|------------------------------------|
| country P | 1800                               | 2800                               |
| country Q | 1500                               | 2000                               |

Which statement is correct?

- A P has an absolute advantage in Y and Q has an absolute advantage in Z.  
☒ B P has an absolute advantage in Z and Q has a comparative advantage in Y.  
C P has a comparative advantage in Y and Q has a comparative advantage in Z.  
D P has a comparative advantage in Z and Q has an absolute advantage in Y.

25. Terms of Trade =  $\frac{x \text{ prices}}{m \text{ prices}} \times 100$  Base year 100  
 $x \text{ prices} \uparrow 20\% = 120$   
 $150 = \frac{120}{x} \times 100 \Rightarrow x = 80 [-20\%]$  Option 'B' is correct

26. Country P Y : Z  
 $1800 : 2800$   
 $2Y : 1.55Z$   
 Country Q Y : Z  
 $1500 : 2000$   
 $1Y : 1.33Z$   
 Country 'Q' has comparative advantage in good Y as it has lower opportunity cost  
 Country 'P' has absolute advantage in good Y and good Z  
 Option 'B' is correct

Tariffs, Quota, embargo, Subsidies,  
↑ Devaluation etc

27 Which government policy could be considered as a protectionist policy?

- A an imposition of controls on capital outflows from the economy (No)
- B foreign exchange intervention to prevent a devaluation of the country's currency (No)
- C pollution charges imposed on domestic producers (Domestic concern)
- ✓ D subsidies paid to domestic producers of a tradeable good  
↳ making domestic goods cheaper in international market

28 The government of a country plans to raise income tax rates. The initial equilibrium for the country is represented by point X on the diagram.

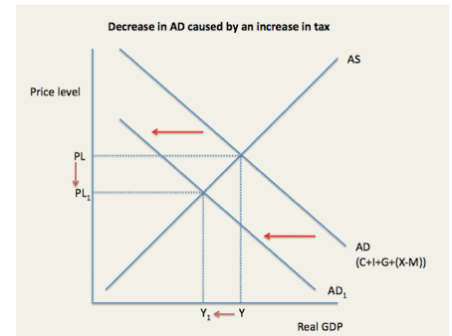
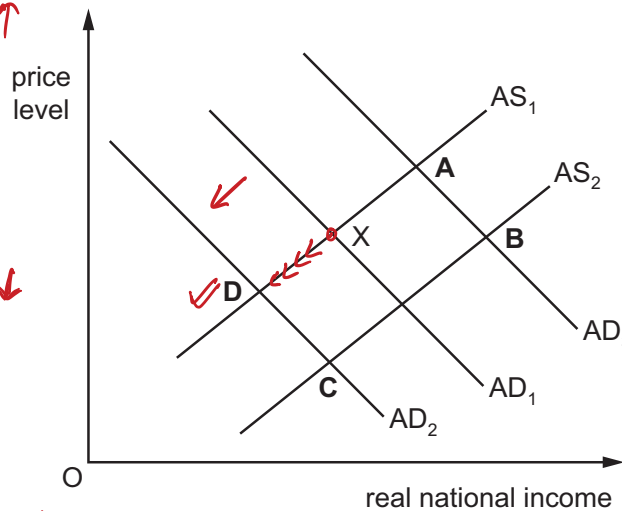
Which new equilibrium point would an economist predict as the result?

\* Raise income tax ↑

\* Disposable income ↓

\* Consumption ↓

\* Aggregate demand ↓



\* Expenditure Dampening/reducing policy targets to reduce the expenditure of domestic residents on imported goods.

29 What is an example of an expenditure-dampening policy? [Fiscal and Monetary]

- ✓ A an increase in income tax rates Tax rate ↑, Disposable income ↓, C ↓, Imports ↓, Deficit ↓
- B an increase in the level of import tariffs (Expenditure Switching policy)
- C an upward revaluation of the exchange rate (Imports cheaper, deficit ↑)  
Appreciation
- D the introduction of import quotas (Expenditure Switching policy)

Less gap between  $Y_a$  and  $Y_f$

30 An economy is currently operating close to its full employment level of national income.

Which combination of macro-economic policies would be most likely to have net deflationary effects?  $AD \downarrow$

- A a 10% cut in the standard rate of income tax and a 5% devaluation of the currency  $AD \uparrow$   $AD \uparrow$
- B a 10% cut in the standard rate of income tax and a 5% revaluation of the currency  $AD \uparrow$   $AD \downarrow$
- C a 10% rise in the standard rate of income tax and a 5% devaluation of the currency  $AD \downarrow$   $AD \uparrow$
- ✓ D a 10% rise in the standard rate of income tax and a 5% revaluation of the currency  $AD \downarrow$   $AD \downarrow$  (AD ↓)

\* Income tax ↑, Disposable income ↓, C ↓, AD ↓

\* Revaluation, X prices ↑, X (TR) ↓ → AD ↓  
M prices ↓, M (TE) ↑ → AD ↓